

Words of Wisdom

Problems occur when you perceive a loan to a friend or relative as a normal business transaction, which requires repayment. When the repayment doesn't happen, hurt feelings enter the equation since the borrower isn't a faceless person. You feel betrayed because you know the person and expect your friendship to be a prime motivation for them to repay their obligations. A bank is an impersonal entity, but you aren't.

The only way to truly avoid hurt feelings over anticipated returns is to adopt the philosophy, "When loaning money, consider it a gift." If you never expect repayment, you can avoid any hurt, betrayal, and sense of being taken advantage of. Giving gifts needs to be prefaced with the caveat, "Be cautious of being overly generous." There is a difference between being nice and being a target.

Despite the risks, you may decide to be a cosigner anyway. If you make this decision, remember the following lessons from this chapter:

- Be sure you can afford to repay the loan.
- Read your obligations carefully.
- Be aware of the possible adverse consequences to your credit report, loss of property, lawsuits, etc.
- Be careful not to create a financial dependency pattern.

